In this video, you will learn how to develop price action case studies that will help gauge the magnitude of their formations.

Confluence

In Forex trading, confluence refers to the simultaneous occurrence of multiple technical indicators or signals that align to provide a strong signal for a potential trade setup. Confluence trading is a popular approach among professional traders, as it can significantly increase the probability of a successful trade.

The concept of confluence is based on the idea that different technical indicators provide different perspectives on market conditions, and when they confirm each other, the trading signal becomes more reliable. For example, if a support level coincides with a trendline, a moving average, and a Fibonacci retracement level, it creates a strong level of confluence, increasing the likelihood of a successful trade.

The Benefits of Confluence Trading in Forex

One of the main benefits of confluence trading is that it helps traders to filter out false signals and avoid entering trades that have a high risk of failure. By using multiple technical indicators and analyzing different timeframes, traders can get a more comprehensive view of the market and avoid making trades based on one-dimensional signals.

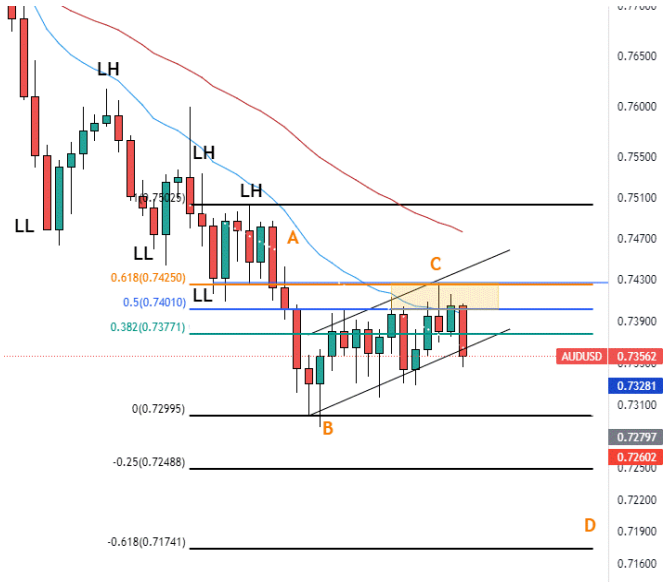
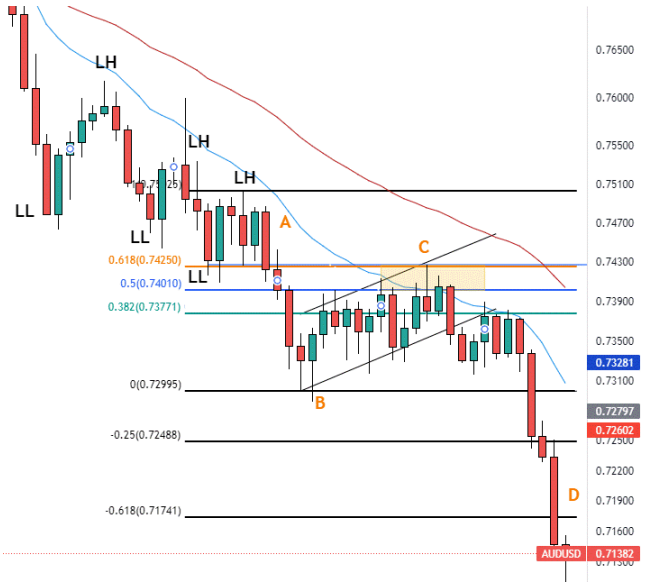
Another benefit of confluence trading is that it allows traders to improve their risk-reward ratio by identifying key support and resistance levels, and using them to set stop-loss and take-profit levels. When traders use multiple technical indicators to confirm these levels, it provides a stronger case for setting these levels, and improves the accuracy of the trade setup.

The concept of confluence is used to support your trading decision. This results from using several indicators, strategies, or signals to identify high probable entry and exit points or spot retracements & reversals in a trend. Confluence can come in many forms, but the most common types include:

1. **Trend line confluence:** This occurs when two or more trend lines intersect or are parallel to each other, indicating a strong level of support or resistance.
2. **Fibonacci confluence:** This occurs when multiple Fibonacci retracement levels overlap, indicating a high probability of a reversal or continuation of a trend.
3. **Moving average confluence:** This occurs when multiple moving averages intersect or are in close proximity to each other, indicating a potential support or resistance level.
4. **Price action confluence:** This occurs when multiple candlestick patterns or chart patterns appear in the same area, indicating a high probability of a trading opportunity.

Trading with confluence helps improve your risk to reward and profitability. Each indicator has an expected win rate, expected risk to reward, and expected drawdown. These expectations and averages vary from time to time, depending on the markets structure. For example, trending strategies work great when the market is moving up or down, but range-bound strategies have more success trading when the market is consolidating; moving sideways.

These strategies and indicators are geared towards finding trending and trend continuation setups. For that purpose, we use EMA's, Fibonacci, Ichimoku, market structure, RSI (to measure the presence of divergence), price action (momentum/correction), candlesticks, and chart patterns. Below is an example of a confluent case study of a short sell on the Australian dollar against the US dollar.

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<td>Confluence Case Study

1. Candlesticks formed lower highs (LH) and lower lows (LL).
2. Price is rejected by the 18 Exponential Moving Average (blue line).
3. Price is rejected by the GOLDEN ZONE (0.618-0.5) Fibonacci level.
4. A rising channel pattern has emerged indicating consolidation is ending & the market is ready to make its move.
5. Price endures a heavy rejection at the 0.74250 exchange rate, identified by a shooting star pattern, following with a bearish engulfing pattern.</td>
<td>After breaking out to the downside, price makes a retest to the bottom rising support trendline before breaking down making new lower lows.

You should never establish an investment decision just on a Japanese candlestick pattern. You should always validate price action with other signals and indications.</td>
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By combining strategies and indicators you effectively decrease the risk of relying on one technique and therefore you receive more confirmation for a setup. It allows you to filter out trade setups where multiple signals are not in sync. Hence, increasing your overall aggregate performance.